NexSky

Financing Opportunity

Senior secured loan note — 18% coupon

Consented 688-bed PBSA development, Peckham, southeast London

EXECUTIVE SUMMARY

Opportunity to participate in a GBP 11.65M senior secured loan note paying an 18.0% p.a. coupon (current, quarterly) — the junior tranche of a GBP 26.65M whole loan alongside a GBP 15M Secure Trust Bank senior facility. Proceeds fund a discounted payoff of legacy debt over Peckham Quarter, a consented 688-bed PBSA scheme in southeast London: GBP 21.02M of liabilities settled for GBP 15.5M (c. GBP 5.5M write-down). Planning is approved and the S106 signed, conditional only on this financing closing. Day-one whole-loan LTV 59.2% vs a GBP 45M underwrite; junior note covered 2.5–3.0x. First-ranking security, 23-month term. Sponsor Joseph Homes; close 31 July 2026.

INDICATIVE TERMS

Borrower	Peckham Quarter Limited (sponsor SPV)
Facility	Senior secured loan note (junior tranche)
Amount	GBP 11,650,000
LTV	59.2% whole-loan vs GBP 45M underwrite
Tenor	23 months; 12-month make-whole
Pricing	18.0% p.a. coupon, current, quarterly
Interest reserve	GBP 8.09M, pre-funds c. 100% of term costs
Security	First-ranking; STB senior via back-leverage

ASSET OVERVIEW

Asset	Peckham Quarter, Sylvan Grove, London SE15 1PD
Type	Consented PBSA — 688 beds | NDV c. GBP 209M
Location	Southwark, southeast London
Planning	Full consent; S106 signed, conditional on close
Valuation	BNP Paribas GBP 50M (16 Sep 2025); GBP 72,674/bed
Sponsor	Joseph Homes — 1,659 PBSA beds; Chair David Montague CBE
Contractor	HG Construction (GBP 105.16M offer; JCT pending)

COLLATERAL AND CREDIT HIGHLIGHTS

Discounted payoff captures value day one: GBP 21.02M of legacy debt settled for GBP 15.5M — the consented asset secured at the cost of its debt.

Planning de-risked: consent granted and S106 signed (settlement executed 24 Jun 2026), conditional only on this financing completing.

Conservative underwrite: LTV sized against GBP 45M, not the GBP 50M headline; junior note covered 2.5–3.0x. GBP 8.09M reserve pre-funds c. 100% of finance costs.

Downside protection: first-pound loss only below GBP 26.65M land value — a 47% fall from BNP's GBP 50M, 24% below the GBP 35M distressed value.

Key risks: clean DPO completion is the gating item (8-week long-stop); build costs unverified pending JCT; repayment exit-dependent; related sponsor entity in liquidation Mar-2026 (Peckham ring-fenced).

Uses of Proceeds (whole loan)	GBP	%
DPO settlement of legacy debt	15,500,000	58%
Cash interest reserve (pre-funded)	8,090,000	30%
Gateway 2 costs, fees, contingency	3,060,000	12%
Total whole loan	26,650,000	100%

PROCESS AND NEXT STEPS

1. NDA with interested investors. **2.** Data package — investor presentation, valuation, settlement agreement, S106, loan note instrument. **3.** Loan note subscription documentation (Jersey Finco, TISE-listed). **4.** Commitment and funding ahead of the projected close on 31 July 2026.

For access to the full data package under NDA, please contact us directly.